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How Finance Will Shape the Future of U.S. China Relations

The United States has been the uncontested top power in the world since the fall of the Soviet Union in 1991. Since the collapse of the Soviet Union, China has emerged as the top contesting power to the United States militarily and economically. This has prompted the United States of America to respond in multiple ways. I am interested in how these countries are using their financial victories to gain supremacy over the other. The United States and Chinese militaries stack up against each other similarly and both nations are using capital to prop up their military's futures. Both nations' militaries primarily exist to protect both nations' economic interests within this conflict. The United States of America and The Communist Party of China are at odds moving into the future. Effective allocation of Finances will be pivotal in the next few decades.

The United States and China's important relational history begins around the time of both World Wars. During the Early 1900s the United States was an ally with the republic of China. During World War II the United States and the Republic of China became close allies in and cooperated to defeat the Japanese Empire. The Japanese eventually fell, but during this period a civil war ignited in China. This civil war was eventually won by the Communist Chinese Party and the Republic of China's government fled to Taiwan. After the war new ruling party of China, the Communist Chinese Party, began to install five-year plans. These plans industrialized their nation very effectively with rapid industrialization and self-reliance. Into the 1990s the China appeared as the main adversary of the United States on the global stage. Since this time China has been growing its influence and prompting the United States to respond. China has done this by furthering industrialization, expanding its interests in global markets, and expanding economically as much as possible. In the past few decades both nations have struggled to have control over Africa as Chinese companies and lenders begin to expand influence in the continent, especially East Africa. China is also beginning to send much of its resources for influence in the Western Hemisphere, this was one of the reasons for a recent United States sanctioned caption of Nicholas Maduro. This capture of Maduro also played a vital role in positioning the United States for more key changes of leadership in nations like Cuba, which was done by cutting off their oil supply, which is from Venezuela before the capture of the president.

The United States and China are major competitors because of shared global ambitions. China, which has rapidly risen to the most powerful nation in Asia after the 2nd World War, has had its currency gain much more strength and they have seen their GDP rise to the 2nd highest in the world. Economically, China is a powerhouse globally. They have used this to expand their reach internationally into United States influenced nations, especially in Africa. Both nations have extreme emphasis on the sea that is south of China, north of Malaysia, east of Vietnam, and west of the Philippines. All these nations have international rights to the waters in this sea. The United States is fully in support of defending against China from overstepping into these waters due to its disruption of trade routes and violations of law (Dutton et al. 5-7). The United States is also extremely focused on protecting Taiwan, which is the number one interest of the Communist Party of China. United States tech companies have offshored to Taiwan, and any effort by China to take Taiwan would completely change the complexion of economics and global affairs throughout the world. This would also change the way the United States would finance its AI sector and possibly lead to extreme losses in the stock market.

This rivalry is the most important globally, because of the impact it will have throughout the whole world. If these Chinese were to gain an edge there would be a complete changing of geopolitics throughout the entire world. This is why it is important to understand the main factors that will lead to one of these two nations having victory over the other and becoming or retaining the position of the most powerful nation throughout the entire world. (Hu 127) The United States' and China's reach expand much farther than just Asia, and North America. Both nations are competing for vital trade routes that are emerging, as ice melts in the north of our world. The strength of both nations would be extremely tested by a confrontation; this confrontation will set up whoever is victorious to be the premier nation in the world with the most powerful military force that will be poised to dominate the globe. This makes the current situation between the United States' and China the most important conflict/competition throughout the world.

Both the United States and China have extremely high ambitions for the future; these are global and wide-ranging ambitions. The United States looks to suppress the power of the Yuan globally, while preserving the power of the U.S. dollar as much as possible. China seeks to have financial independence, especially after they unpegged their currency from the U.S dollar earlier this century. The United States seeks to prove the effectiveness of market capitalism, which is up against the Chinese version of capitalism, which is state powered and ran by 5-year plans, these plans support planned growth with capitalist enterprise occurring outside of it within the Chinese system. Both nations also seek to expand technologically, especially through artificial intelligence. Artificial intelligence has soared in popularity within American and Chinese markets, and it has dominated the most powerful index funds in the world. This sector is giving nations major boosts economically, and you can see it in the equity markets specifically. (Orion 1-3) Nearly all of these objectives reach out into the long term, so both nations seek to leverage finance to the best of their ability, the United States seeks to have effective federal reserve changes made, with effective interest rate raises and cuts stimulating growth while cutting the amount of inflation that there will be into the future. For China, they plan on to continue their rapid rise to power by increasing their GDP and overall productivity per capita, which has the protentional to allow China to have the strength it needs to complete its goals. This will cause Finance to be at a vital point for both nations when it comes to gaining leverage for these goals.

Finance will be the instrument that allows either country to play its sounds of geopolitical influence, military might, and innovation into the future. Finance is important to these goals because it is crucial in how effective each of these nations will be at supporting their modernization or advancement of military, their own technological development, and economic strength (Blackwill 11-12). The United States has a high priority in its defense and tech sectors, especially as of late, with calls for the U.S. Military budget to be increased to 1.5 trillion when it was almost half of that number during the presidency of Joe Biden. The United States seeks to have strong public funding and private innovations in these sectors, proper allocation of capitol and incentive for working at these prestigious firms/corporations that are powering the future of our would through their AI GPU’s. Some of these AI models are limited to not go to China to slow their economic strengthening. China uses their financial power strategically and effectively as possible. Capital goes towards growth of specific industries, which has proven to be effective as China has modernized over the decades after them winning the civil war against the KMT the current ruling party of Taiwan in the 1940s and 1950s (Orion 4-6). For these reasons finance is not just something that is in the background that is barely affecting the competition between the United States and Chinas, it is something that is truly essential to the core of the conflict.

The United States and China have varying advantages from both of their systems and methodologies that have been established for decades and possibly centuries. The United States of America focuses on innovation which has been a product of hundreds of years of mostly free Market Capitalism and strong competition which pushes innovation for better products and services. Advanced industries that are powerhouses are usually seen in the United States (Blackwill). To restate the advantages of China they have much state backed planning, which has been baked into their economic and political system since their nation has been independent. Overall, China's ability to allocate resources is the greatest power that it has within finance, this power allows for the sectors in need of support to be properly prioritized, which may not be possible within United States of America Markets. You can see these differences within US companies by seeing the innovation that makes US economics great, which is companies like NVIDIA that have privately become the most powerful company in the entire world. Chinese banks which have extremely high control of assets and capital showcase the strong financial power of China. Although both nations have extremely prominent economic strength that any other nation wishes that they possess, both nations have completely different ways they gained power and economic strength. Those differences will shape the future of how both nations interact with each other in this strategic competition for geopolitical power.

Military analysts familiar with the Chinese military suspect that China would be able to make an incursion and become a serious threat of invasion to Taiwan by the year 2028. While this conflict would not be in the complete long term, the financial aspect of this conflict is still a vital player in how this conflict will play out. The entire world would suffer from trade disruptions as the conflict begins and persists (Dutton et al). There would be extreme technological shortages, especially in the tech sector due to supply chains flowing directly through Taiwan. Both nations would have to deal with the strongest economic shock in recent history, whoever is more prepared and can better sustain their economies through a very fragile time has extremely good odds at being victorious in this conflict that will shape the future of our world for decades (Orion 6-8) This would prove finance is not just a small aspect of geopolitical conflicts, but it is a very important function of them that nations cannot be without.

Both nations financial frameworks reflect their aspirations and larger economic systems, the power of innovation, free markets and sheer global power dominates the United States economy. For China institutional planning and power powers their economy to rise so quickly, the question is, how long can they sustain this success that comes from the government or free markets on both sides of the aisle. This gets down to the essentials of finance, which is not having money, but it is about understanding the allocation and usage of capital as effectively as possible. This makes finance a core function of national strategy for both nations.

If the war against Taiwan is to occur there would not just be the short-term consequences that are essential for finances to be present, but this conflict will also be extremely consequential for the long term economies of both nations, with markets likely largely selling off at the sign of a major war on the geopolitical stage. Both nations, and likely the majority of the world's economies, markets, and reputations as safe spaces for wealth would be completely ruined. After a war both nations would need to stabilize their economies while trying to recover from a likely costly war. Therefore, this strategic competition would not just exist within the battlegrounds and sea. This conflict will be about economic and financial resilience that has been prepared for a long period of time before this hypothetical, but very possible conflict begins.

The future of the relation between the United States of America and China will not be shaped by merely military might or effective negotiations that both nations have. Both nations' global ambitions and regional domination ambitions hold back the possibility for an alliance. The competition between the two countries has existed for decades and possibly centuries of continued disagreements, new disagreements on international law and things similar. Finance will help support both nations in their search for expansionist or imperial ideals. Proper financing will allow sustainability of the economy, military strength, and strength in the tech sector. This is why finance must be seen as the most or one of the most important factors shaping the nature of the relations between the United States and China. It will surely play a pivotal role as time moves on.

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